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The real held. Inflation pricing is less reassuring.

Published 16 October 2026 · market data through 15 October

Brazil’s currency has kept most of its first-round rally, but inflation pricing has deteriorated. I remain flat into the runoff.

The question is no longer whether Brazil can rally on the vote. It is whether the rally reflects durable inflation and fiscal confidence, and which exposures still pay for that risk.

Rates: the nominal yield hides the disagreement

Since the first post-vote session, the two-year nominal zero rate has risen just 12 bp to 12.72%. Underneath, breakeven inflation rose 27 bp and the real yield fell 16 bp to 6.80%. This is not a front-end effect: breakevens are 27–30 bp higher at every maturity from one to six years, and the two-to-five-year forward breakeven rose 32 bp. A single inflation print would mostly move the front end. Breakevens include inflation-risk and liquidity premia as well as expected inflation.

Two-year ANBIMA zero curve	2 Oct	5 Oct	15 Oct
Nominal yield	13.71%	12.60%	12.72%
Breakeven inflation	5.91%	5.27%	5.54%
Real yield	7.37%	6.97%	6.80%

Economists revised only the current year. Between the 2 Oct and 9 Oct Focus surveys, the 2026 inflation median rose from 5.01% to 5.22% and the year-end Selic median fell from 13.50% to 13.25%, but 2027 inflation stayed at 4.30%. The two-year rate now sits 0.58 pp above the economists’ Selic path, up from 0.35 pp after the first round; that gap mixes expectations and premia. I would reconsider receiving fixed rates only if breakevens retrace and medium-term expectations improve. A lower nominal yield alone would not be enough.

FX: carry pays, but not for an election jump

At 5.0518, unchanged policy rates put one-month break-even USD/BRL at 5.0902, 0.76% above spot: S × [(1 + Selic) / (1 + Fed midpoint)]^(1/12), before costs and not an executable forward. Annualised, that carry is 9.5%, roughly equal to pre-vote volatility (9.1%): attractive in calm markets. An election is not calm. The first round moved USD/BRL 4.55% in a single session, about 6 months of carry, so I wait for the runoff rather than for a better level.

What I would do

Stay flat before 25 October. The recorded thresholds stay unchanged: from 26 October, two PTAX closes below 5.10 with the U.S. two-year at or below 5.00% trigger a fresh, dated review, not an automatic paper entry.

What would change my mind

Drop the idea on a pre-entry PTAX close above 5.30. Reassess if the Brazilian two-year yield exceeds 14% or the U.S. two-year exceeds 5.10%. A fall into 4.94–5.00 is the existing review zone; it is not a reason to chase.

Independent student research · No position · Educational research, not investment advice.

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Exporters: a stronger real can offset a better Brazil story

From the pre-vote close to 14 Oct, USD/BRL fell 3.4%, cutting reais receipts by the same amount at unchanged dollar prices. That part is robust. The oil part is not: EIA spot Brent jumped 18% on 2 Oct alone, so its change to 14 Oct is −6.6% from that close, +10.2% from the day before and +0.8% from the first post-vote session. In reais, the result ranges from −9.8% to +6.7% depending on the start date. With spot this erratic, I draw no oil conclusion from a single print; the currency effect is the part a producer can plan around.

What happens to unhedged gross revenue?

Commodity price in USD	USD/BRL −5%	USD/BRL unchanged	USD/BRL +5%
−10%	−14.5%	−10.0%	−5.5%
+0%	−5.0%	+0.0%	+5.0%
+10%	+4.5%	+10.0%	+15.5%

Each cell is (1 + commodity shock) × (1 + FX shock) − 1, at fixed volume. A five-percent fall in USD/BRL requires a 5.26% rise in the dollar selling price just to preserve reais revenue. Selling dollars forward reduces this conversion risk on a dollar receivable, but uncertain shipment volume creates over-hedging risk. The July IMF agricultural and iron-ore series remain historical context, not current October prices.

What I need to see after the runoff

Real holds; breakevens fall; inflation survey improves. Stronger evidence of domestic credibility. Review long BRL and receiving fixed rates separately, using fresh prices and funding.

Real holds; breakevens stay elevated. Carry or positioning may be supporting FX without broad inflation confidence. Keep the rates thesis unconfirmed; an FX threshold alone is insufficient.

Real weakens; U.S. yields rise. An external-rate shock competes with the domestic story. Enforce the FX invalidation rules; do not attribute every move to the election.

Next decisions: runoff 25 October; Federal Reserve 28 October; Copom 4 November. The first post-runoff session comes before both central-bank decisions.

Review of the 6 October view

Waiting avoided election exposure, but it did not demonstrate an edge: no position was opened. The real has retained 72% of the first-day move, so the warning about a reversal has not yet become a large realised reversal. The rates evidence has become less supportive of inflation credibility. I keep the old thresholds for an honest audit and require a new decision before any paper entry. The archived event study and risk diagnostic retain their original cutoffs.

Risk check: the frozen VaR study found too many breaches under the Normal models. Historical simulation was not rejected for unconditional coverage, which does not validate its tails or make it reliable for an election jump. I use scenarios here, without assigning probabilities or claiming a tradable edge.

Dated inputs

BCB · PTAX (15 Oct) · ANBIMA · Zero curves (15 Oct) · BCB · Focus (9 Oct) · U.S. Treasury · Yields (15 Oct) · EIA / FRED · Brent spot (14 Oct) · BCB · Selic target (17 Sep) · New York Fed · Target range (14 Oct) · TSE · Election calendar (16 Oct) · Federal Reserve · Calendar (16 Oct) · BCB · Copom calendar (16 Oct)
Frozen at publication. PTAX is a reference rate, ANBIMA is a fitted zero curve and EIA is a spot benchmark. All changes above use matched dates; none is an executed return.